AN ADVISORY NOTE

Instruction to legal and tax counsel

A brief to establish the group holding structure and the ilé founders' agreement, and to confirm the open questions under Nigeria's 2025 tax reform.

PREPARED FOR
Appointed legal and tax counsel

PREPARED BY
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STATUS
Private and confidential. Instructions, not a legal or tax opinion.

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Subject: Instructions to establish the group holding structure and the ilé founders' agreement

Purpose of this brief

This brief instructs counsel on two related workstreams for Kemi Balogun: establishing a Nigeria-domiciled group holding structure across five sectors, and papering the shareholding and founders' agreement for the healthcare arm, ilé. It sets out what we ask counsel to draft and incorporate, and, separately, the specific questions under the 2025 tax reform we ask counsel to confirm before we act. Two companion advisory notes (on the group structure and on the ilé venture) give the full reasoning behind these instructions and should be read alongside this brief.

The recommended structure is the phased hybrid described in the group note: a parent holding company and a shared-services company now, with energy and healthcare ring-fenced into their own sub-holdings from the outset, and a family trust layer designed in now but implemented later.

A note on independence. In the ilé venture, Consult for Africa is a proposed shareholder, not a neutral party. Counsel instructed on the ilé founders' agreement should act for Kemi Balogun and advise her independently of Consult for Africa's interest. We flag this deliberately.

Workstream one: the group holding structure

Entities to incorporate

- **The parent holding company.** A company limited by shares under CAMA 2020, non-operating, to hold the group. Design the share structure so a family trust or family-office vehicle can be introduced above it later without triggering a taxable reorganisation. Advise on the classes of shares and any founder or family share rights needed to preserve control across future dilution.
- **A shared-services and technology company,** owned by the parent, to hold the group's technology, brand, finance and people functions and to charge the operating companies for them.
- **An energy sub-holding company,** owned by the parent, to hold the oil and gas interest and the solar interest as separate operating companies beneath it.
- **A healthcare sub-holding company,** owned by the parent, to hold ilé.
- The education, agriculture and fashion operating companies, held directly under the parent for now.

Documents to draft

- Constitutions and, where relevant, shareholders' agreements for the parent and each subsidiary.
- Inter-company services agreements between the shared-services company and each operating company, on arm's length terms, with a transfer-pricing policy and documentation that will withstand review.
- A dividend policy consistent with the excess-dividend rule, so upstreaming from any arm on an incentive or in a loss position does not trigger tax.

Workstream two: the ilé founders' agreement and cap table

The proposed cap table

Shareholder	Stake	Nature
Kemi Balogun, via HoldCo	51%	Founder and principal sponsor
Consult for Africa	34%	Build and manage for equity, vesting
Dr Chris Anele	10%	Clinical co-founder, capped grant, vesting
Employee and clinical leadership pool	5%	Reserved for future clinical hires

Terms to document

- **Vesting for all founder equity.** A one-year cliff and four-year vesting, implemented as reverse vesting: shares issued up front, subject to the company's right to repurchase the unvested portion at nominal value on departure.
- **Consult for Africa's equity in two tranches:** a build tranche vesting against technology-delivery milestones, and a management tranche vesting across the management term, with clawback on early exit.
- **Dr Anele's capped grant** of 10%, plus a personal, non-transferable, discounted subscription right at each future priced round, capped at an agreed ceiling (illustratively toward 15%), conditional on continued service and good-leaver status.
- **Good-leaver and bad-leaver mechanics** governing what a departing founder keeps.
- **Anti-dilution and control protection.** Structure the employee pool and Dr Anele's top-ups to dilute the cap table proportionally, and give Kemi a pre-emption right, so her 51% control is preserved through future issuances.
- **Intellectual property assignment.** All founder contributions, Dr Anele's clinical protocols and Consult for Africa's technology, assigned to or exclusively licensed by the company.
- **Reserved matters, board composition, pre-emption, tag-along and drag-along, non-compete and non-solicit, and dividend policy.**
- **Timing of share issuance.** Issue founder and sweat-equity shares at incorporation, at nominal value, to keep the sweat-equity tax charge near nil. Please confirm the mechanics (see below) before we do so.

Tax questions to confirm before we act

The 2025 tax Acts are new and in places disputed. We ask counsel to confirm each of the following against the gazetted Act and current regulations, and to flag where the position is uncertain.

- **The small-company threshold.** The enacted section text is read by some firms as N50m turnover and by others (PwC, Baker Tilly) as N100m, both with a N250m fixed-asset ceiling and a professional-services exclusion. Confirm the operative turnover figure, and confirm that the shared-services company is excluded from the 0% band as a professional-services business.
- **Transfer pricing and deductibility.** Confirm the deductibility cap on management, technical and intangible fees (understood to be around 5% of EBITDA), and whether National Office for Technology Acquisition and Promotion registration is a precondition for deductibility of the shared-services fees.
- **Group-reorganisation relief.** Confirm whether relief from capital gains tax and stamp duty is available when assets or subsidiaries are moved into the new holding structure, and on what conditions, including any common-ownership holding period.

- **The Economic Development Incentive.** Confirm which of solar or renewable power, agricultural processing, healthcare and eldercare, and edtech appear on the eligibility schedule, and the application mechanics and fees.
- **Sweat equity and the discount.** Confirm the income-tax treatment of shares issued for services, that issuing at incorporation at nominal value minimises the charge, and the taxable-benefit treatment of the discount on Dr Anele's top-up subscriptions.
- **Indirect transfers.** Note that capital gains tax now reaches indirect offshore transfers of Nigerian shares, and advise how this affects any future holding or exit structure.

Regulatory confirmations by arm

- **Oil rig and petroleum operations:** NUPRC and NMDPRA licensing under the Petroleum Industry Act 2021, and Nigerian-content obligations. Please advise fully before any capital is committed.
- **Solar:** whether the intended capacity and use triggers a NERC captive-generation permit (own-use above 1MW) or a full generation licence (sale to third parties).
- **Healthcare and eldercare:** state health-facility registration (for example HEFAMAA in Lagos), professional licensing, and Nigeria Data Protection Act registration for patient data.
- **Education and fashion:** Nigeria Data Protection Act obligations, with particular care on child data in the edtech product.

Deliverables, sequence and contact

We ask counsel to: incorporate the entities in workstream one; draft the ilé founders' agreement and cap-table documents in workstream two; and return a short written opinion on the tax questions above. Sequence the group structure first, so the holding company exists to hold Kemi's ilé stake, then paper the ilé cap table at incorporation, then build. We would value an initial call to agree scope, fees and timeline.

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